CUSTOMER CHURN ANALYSIS & RISK SEGMENTATION

A Data Analytics Case Study

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Executive Summary

Customer churn analysis revealed that attrition is primarily driven by declining customer engagement, particularly reduced transaction activity and increased inactivity periods.

A risk segmentation model identified 21% of active customers as high-risk, based on behavioural indicators such as low transaction frequency and inactivity.

These findings highlight a significant opportunity for early intervention. By implementing targeted retention strategies (such as engagement incentives and proactive outreach) the business can reduce churn, protect revenue, and improve customer lifetime value.

Objective

To identify key drivers of customer churn and develop actionable strategies to improve customer retention.

Key Findings

- Customers who are inactive for 2–3 months show a significantly higher likelihood of churn compared to consistently active customers.
- Customers with fewer than 50 transactions have an estimated churn rate of 73% vs 31% for more active customers.
- Customers with lower transaction activity and spend show significantly higher churn rates, indicating that engagement (not financial capacity or demographics) is the primary driver of churn.
- The more products a customer has the less likely they are to churn.

Business Insight

- Key indicators of a customer who is likely to churn are the number of transactions, amount of transactions and days inactive in 12 months.
- Churning can be predicted using behavioural indicators such as inactivity and declining transaction volume, enabling proactive intervention before customer loss occurs.
- Currently 21% of clients fall into the category of 'HIGH RISK' (inactive for 3 months or less and having less than 50 transactions), these are clients who are still on our books. We can target these clients for retention campaigns.

Recommendations

- Implement early warning systems based on inactivity (2 months) and declining usage (less than 50 transactions).
- Target high 'HIGH RISK' customers (currently accounting for 21% of active clients).
- Encourage cross-sell products to strengthen customer relationships.
- Introduce engagement incentives such as loyalty points, cashbacks and rewards.

Conclusion

Churning is predictable and preventable. By leveraging behavioural indicators, the business can intervene early, reduce attrition, and improve long-term profitability.

Tools used

Microsoft Excel (PivotTable, Data Analysis, Dashboard).